

1.

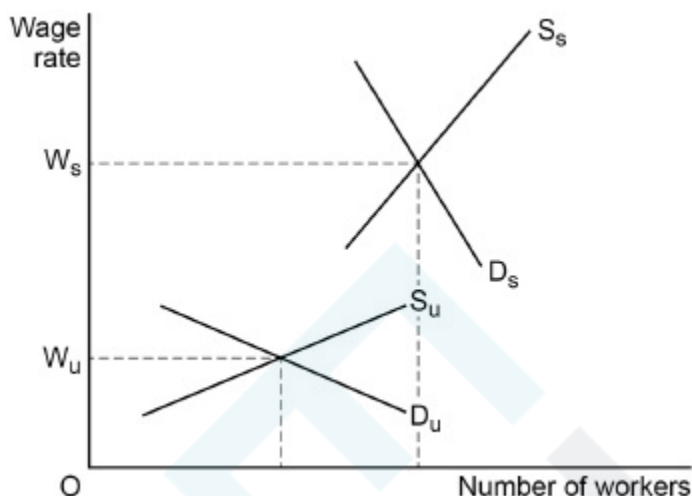
Extract C (lines 4–5) states that, as a result of trade union action, 'The hospital trust increased their £8.21 minimum wage to the London Living Wage of £10.75.'

With the help of a diagram, analyse how a trade union might achieve higher pay for its members.

[9 marks]

2.

The diagram below shows the demand and supply curves for skilled labour (D_s and S_s) and unskilled labour (D_u and S_u) and the wage differential ($W_s - W_u$) between the two types of labour.



All other things being equal, which one of the following is most likely to cause a decrease in the wage differential?

- A A fall in the demand for unskilled workers
- B A fall in the size of the labour force
- C An increase in the demand for skilled workers
- D An increase in the proportion of the labour force with a degree

☐
☐
☐
☐

[1 mark]

3.

Extract B (lines 13–14) states: 'It can be argued that supply-side reforms have gone too far in creating a highly flexible workforce and the government needs to do more in terms of protecting the nation's workers'.

Using the data in the extracts and your knowledge of economics, evaluate the view that free market supply-side reforms to labour markets are beneficial to the UK economy.

[25 marks]

4.

The table below shows how a firm's total and average product change, in the short run, with different inputs of labour.

Number of workers	Total product	Average product
4	128	32
5	260	52
6	420	70
7	497	71
8	528	66

Diminishing marginal returns to labour set in when the firm employs

A 5 workers.

☐

B 6 workers.

☐

C 7 workers.

☐

D 8 workers.

☐

[1 mark]

5.

The Resolution Foundation estimates that 1% of adults, about 488 000 people, own 14% of the UK's assets – worth about £11 trillion. At the other end of the scale, 15% of adults, about 7.3 million people, either own no assets at all, or are in debt. Meanwhile, income is also unequally distributed, but not to the same extent as wealth.

Assess the view that, in the UK, the consequences of wealth inequality are more damaging than the consequences of income inequality.

[25 marks]

6.

Extract E (lines 14–16) states that 'The market economy is not going to create the jobs by itself for those workers who are most affected by the change.'

Extract F (lines 4–5) states that 'taxing productivity-enhancing tools like robots or machines makes no economic sense.'

Use the extracts and your own knowledge of economics to evaluate whether governments should allow markets to respond freely to the opportunities and challenges presented by technological progress, without any state intervention.

[25 marks]

7.

Extract E (lines 4–5) claims that workers in the 18th century saw wages rise in line with productivity.

With the help of a diagram, explain how advances in modern technology are likely to lead to rising wages in some industries.

[9 marks]

8.

All other things being equal, which one of the following is most likely to cause the marginal revenue product of labour curve in the shoe manufacturing industry to shift to the right?

- A A decrease in money wage rates in the shoe industry. ☐
- B A decrease in the number of workers employed in the shoe industry. ☐
- C An increase in the market demand for shoes. ☐
- D An increase in the number of firms competing in the shoe industry. ☐

[1 mark]

9.

All other things being equal, the demand for labour is more likely to be wage elastic if

- A it is difficult to substitute capital for labour. ☐
- B the cost of labour is a low percentage of total costs. ☐
- C the final product has a high price elasticity of demand. ☐
- D the supply curve for labour is wage elastic. ☐

[1 mark]

10.

INVESTIGATION

Scenario

You are an economist working for an organisation which investigates ways to improve the standard of living of UK citizens.

You have been asked to review changes in living standards and inequality since the 2007–2008 financial crisis.

As part of this investigation, you are to provide answers to the following question.

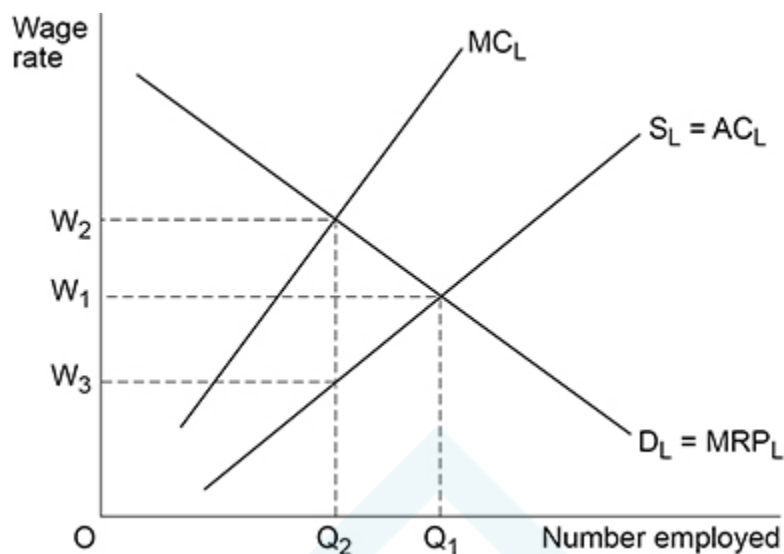
Study **Extracts A, B, and C**, and then use these and your knowledge of economics to help you answer this question. There is also a news report, **Extract D**, which is to be used with the other extracts to help you answer this question.

After considering **Extract D**, and the original evidence in **Extracts A, B and C**, would you recommend that the government implement a further substantial increase in the National Living Wage? Justify your recommendation.

[25 marks]

11.

The graph shows the market demand for labour ($D_L = MRPL$), the market supply of labour ($S_L = AC_L$), and the marginal cost of labour (MCL), in a particular industry. The employer in this industry is a monopsonist.



From the graph above, it can be concluded that, in the absence of a trade union or a minimum wage, the firm will employ

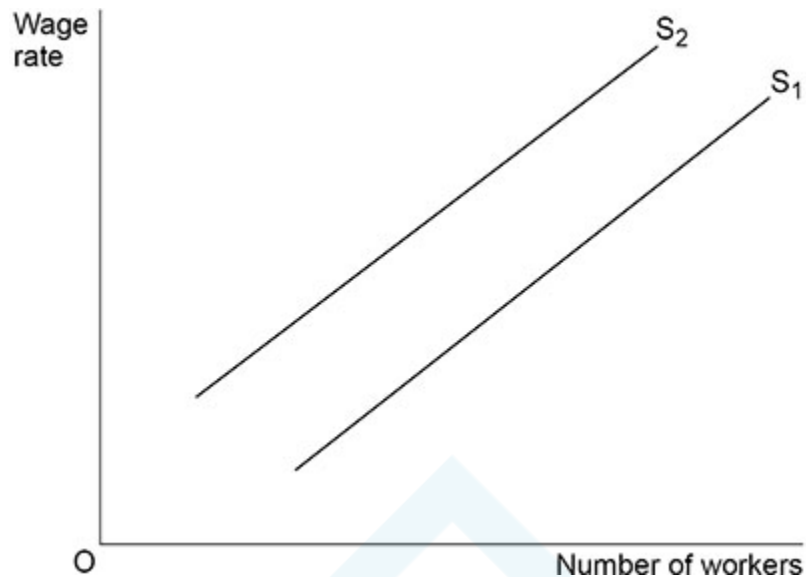
- A OQ_1 workers at a wage of OW_1 .
- B OQ_2 workers at a wage of OW_1 .
- C OQ_2 workers at a wage of OW_2 .
- D OQ_2 workers at a wage of OW_3 .

☐
☐
☐
☐

[1 mark]

12.

The diagram below shows two labour supply (S_1 and S_2) curves for workers qualified to the level necessary to be employed in a particular industry.



All other things being equal, the shift of the supply of labour curve from S_1 to S_2 is most likely to be explained by a reduction in

A job security for qualified workers in the industry.

☐

B the average wage rate in the industry.

☐

C the productivity of workers in the industry.

☐

D the qualifications required by the industry.

☐

[1 mark]

13.

Extract F (lines 1–3) states: ‘There are aspects of market failure in the social care sector, though some argue that inappropriate government intervention and a lack of funding are the main reasons why the system is failing to deliver high quality care.’

Using the extracts and your knowledge of economics, assess policies that might be used to improve the provision of social care in the UK.

[25 marks]

14.

Explain how the data in **Extract D** (Figure 2) show that there is likely to be substantial upward pressure on the wages of care workers by 2041.

[4 marks]

15.

Extract E (lines 5–7) states: ‘Until the 1990s, almost all workers in the care sector were employed by the government, which acted as a monopsonist by keeping wages low.’

With the help of a diagram, explain how a monopsonistic public sector can lead to low pay for social care work.

[9 marks]

16.

An increase in the national minimum wage may be used to make the distribution of income more equal. Such a policy is most likely to be effective when the elasticity of demand for labour in low-paid work is

- A elastic. ☐
- B inelastic. ☐
- C perfectly elastic. ☐
- D unitary elastic. ☐

[1 mark]

17.

The average university graduate can expect to earn more over their working life than the average school leaver.

This is most likely to be explained by

- A discrimination in the labour markets for non-graduates. ☐
- B the higher marginal revenue productivity of graduates. ☐
- C the higher price elasticity of demand for graduates. ☐
- D the relatively low elasticity of supply of non-graduates. ☐

[1 mark]

18.

Extract E (lines 3–4) states: ‘significant pay gaps remain, even when education and occupation are taken into account, particularly for those born outside the UK.’

Using the extracts and your knowledge of economics, evaluate possible government policies to reduce the ethnic pay gap.

[25 marks]

19.

Extract B (lines 16–18) states that, ‘Gig economy defenders claim that today’s flexible labour markets offer modern workers the opportunity to move freely between jobs and this gives them more choice over their working hours.’

Assess the view that government intervention in the UK labour market is necessary to protect the interests of people who are working in the gig economy.

[25 marks]

20.

Extract F (lines 18–19) states: the Government ‘could also take steps to recognise foreign qualifications, thus removing obstacles for well-qualified foreign-born workers.’

With the help of a diagram, explain how UK firms not recognising foreign qualifications may lead to some ethnic groups receiving lower pay.

[9 marks]

21.

Explain how the data in **Extract D** (Figure 2) show that the ethnic pay gap is more significant for older ethnic minority employees.

[4 marks]

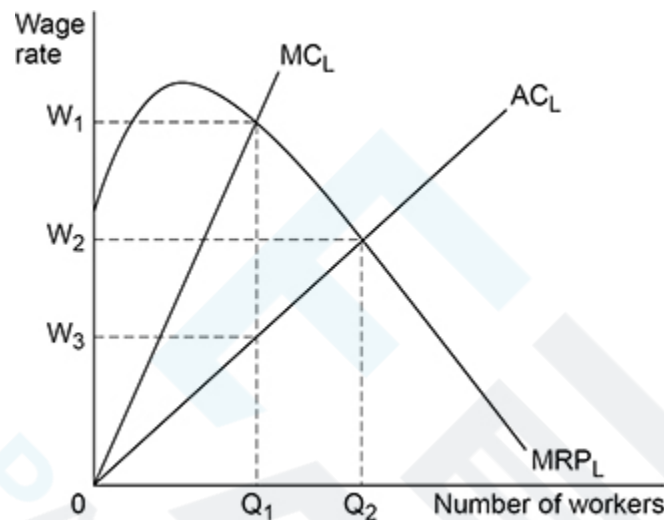
22.

Using the data in **Extract D** (Figure 1), calculate how much a worker of Bangladeshi ethnicity earned on average in 2018, given that a White British worker earned £28 677. Give your answer to the nearest pound.

[2 marks]

23.

The diagram below shows the marginal cost (MC_L), average cost (AC_L) and marginal revenue product (MRP_L) curves for labour in a specialised computer programming industry.



Following a series of mergers between firms in this industry, a single large firm remains as a monopsony employer.

Which one of the following is the most likely to result from a competitive labour market being replaced by a monopsony employer?

A The total amount paid in wages will fall from $(W_2 \times Q_2)$ to $(W_3 \times Q_1)$.

☐

B The total amount paid in wages will increase from $(W_3 \times Q_1)$ to $(W_1 \times Q_1)$.

☐

C The wage rate will fall from W_1 to W_2 .

☐

D The wage rate will increase from W_3 to W_2 .

☐

[1 mark]

24.

Essay 3

Data from the Organisation for Economic Co-operation and Development (OECD) suggest that countries with very different levels of pre-tax income inequality often have similar levels of post-tax income inequality.

Evaluate whether the best way to reduce inequality in disposable income is to reduce differences in pre-tax incomes rather than through taxes and welfare benefits.

[25 marks]

25.

Essay 3

Data from the Organisation for Economic Co-operation and Development (OECD) suggest that countries with very different levels of pre-tax income inequality often have similar levels of post-tax income inequality.

Explain the main causes of inequality in the distribution of pre-tax incomes.

[15 marks]